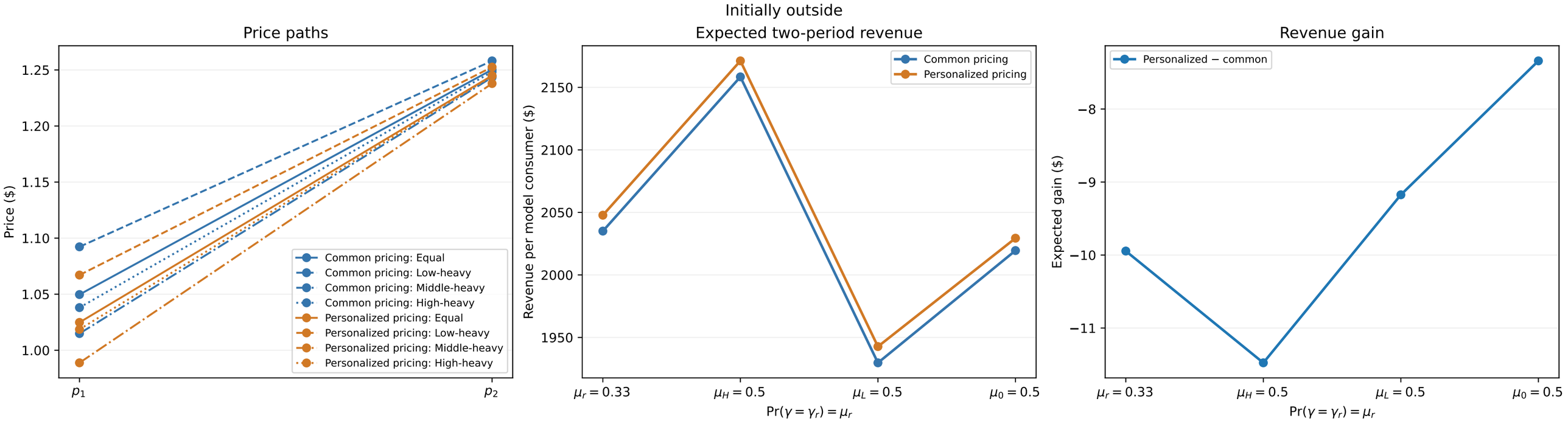
Initially outside
Price paths
Price ($)
1.25
1.20
1.15
1.10
1.05
1.00
p_1
p_2
Common pricing: Equal
Common pricing: Low-heavy
Common pricing: Middle-heavy
Common pricing: High-heavy
Personalized pricing: Equal
Personalized pricing: Low-heavy
Personalized pricing: Middle-heavy
Personalized pricing: High-heavy
Expected two-period revenue
Revenue per model consumer ($)
2150
2100
2050
2000
1950
Common pricing
Personalized pricing
$\mu_r = 0.33$
$\mu_H = 0.5$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$
Revenue gain
Expected gain ($)
−8
−9
−10
−11
Personalized − common
$\mu_r = 0.33$
$\mu_H = 0.5$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$